

INCOME TAX DEFINITIONS

Taxes Definition: Types, Who Pays, and Why

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Part of the Series
Income Tax Term Guide



What Are Taxes?

Taxes are mandatory contributions levied on individuals or corporations by a government entity—whether local, regional, or national. [Tax revenues](#) finance government activities, including public works and services such as roads and schools, or programs such as Social Security and Medicare.

In economics, taxes fall on [whoever pays the burden of the tax](#), whether this is the entity being taxed, such as a business, or the end consumers of the business's goods. From an accounting perspective, there are various taxes to consider, including payroll taxes, federal and state income taxes, and sales taxes.

KEY TAKEAWAYS

- Taxes are mandatory contributions levied on individuals or corporations by a government entity—whether local, regional, or national.
- The Internal Revenue Service (IRS) is the federal tax authority in the United States.
- There are many forms of taxes, including sales taxes, which require a monetary exchange (for example, a sales tax is levied on a transaction is completed).
- Other forms of taxes, such as property taxes, are assessed value of a held asset.

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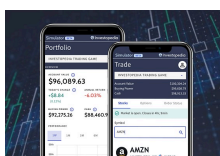
Understanding Taxes

To help fund public works and services—and to build and maintain the [infrastructure](#) used in a country—a government usually taxes its individual and corporate residents. The tax collected is used for the betterment of the [economy](#) and all who are living in it.

In the United States and many other countries in the world, income taxes are applied to some form of money received by a [taxpayer](#). The money could be income earned from salary, [capital](#) [dividends](#) or [interest](#) received as [rent](#) and services, and so on.

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Tax revenues are used for public services and the operation of the government, as well as for [Social Security](#) and [Medicare](#).^[1] As the large baby boomer generation has aged, Social Security and Medicare have claimed increasingly high proportions of the total federal expenditure of tax revenue.^[2] Throughout U.S. history, tax policy has been a consistent source of political debate.

A tax requires a percentage of the taxpayer's earnings or money to be taken and remitted to the government. Payment of taxes at rates levied by the government is compulsory, and [tax evasion](#)—the deliberate failure to pay one's full tax liabilities—is punishable by law. (On the other hand, [tax avoidance](#)—actions taken to lessen your tax liability and maximize after-tax income—is perfectly legal.)^[3]

Most governments use an agency or department to collect taxes. In the United States, this function is performed federally by the [Internal Revenue Service \(IRS\)](#).^[4]

Types of Taxes

There are several very common types of taxes:

- [Income tax](#)—A percentage of earnings paid to the state or federal government
- [Payroll tax](#)—A percentage withheld from wages and paid to the government for Social Security and Medicare programs
- [Corporate tax](#)—A percentage of profits paid to the federal government to fund federal programs

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- [Tariff](#)—Taxes on imported goods; imposed with the aim of strengthening domestic businesses
- [Estate tax](#)—Rate applied to the [fair market value \(FMV\)](#) of property in a person's estate at the time of death; the total estate must exceed thresholds set by state and federal governments

Tax systems vary widely among nations, and it is important for individuals and corporations to carefully study a new locale's tax laws before earning income or doing business there.

Below, we will take a look at various tax situations in the United States. Generally speaking, the federal government levies income, corporate, and payroll taxes; the state levies income and sales taxes; and municipalities or other local governments mainly levy property taxes. ^[5]

Income Tax

Like many nations, the United States has a [progressive income tax](#) system, through which a higher percentage of tax revenues are collected from high-income individuals or corporations than from low-income individual earners. Taxes are applied through marginal [tax rates](#). ^[6]

A variety of factors affect the marginal tax rate that a taxpayer will pay, including their filing status—[married filing jointly](#), [married filing separately](#), [single](#), or [head of household](#). Which status a person files [can make a significant difference](#) in how much they are taxed. The source of a taxpayer's income also makes a difference in taxation. ^[7] It's important to learn the terminology of the different income types that may

[Capital gains taxes](#) are of particular importance. At the federal level, these are taxes on [asset](#) that's increased in value. ^[8]

The rate of taxation on the profit from the sale of an asset (asset was held. Short-term capital gains (assets held for one year or less they were acquired) are taxed at a higher rate than long-term gains on assets held for more than one year.

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length of ownership when both the assets were sold and the tax return was filed.

Payroll Taxes

Payroll taxes are withheld from an employee's paycheck by an employer, who remits the amount to the federal government to fund Medicare and Social Security programs. In 2024, employees will pay 1.45% into Medicare on all wages and 6.2% into Social Security on the first \$168,600 earned, increasing to \$176,100 in 2025. ^[9] ^[10]

! WARNING

Anyone who earns more than \$200,000 as a single filer (or \$250,000 for married couples filing jointly) pays an additional 0.9% into Medicare. ^[11] ^[12]

Payroll taxes have both an employee portion and an employer portion. The employer remits both the employee portion, described above, and a duplicate amount for the employer portion. The employer rates are the same 6.2% for Social Security up to the wage base limit, and 1.45% for Medicare on all wages. Therefore, the total remitted is 15.3% (6.2% employee Social Security + 6.2% employer Social Security + 1.45% employee Medicare + 1.45% employer Medicare). ^[13]

Payroll taxes and income taxes are withheld from an employee's paycheck and remitted to the federal government. Self-employed individuals must pay the equivalent of payroll taxes through [self-employment taxes](#) and Medicare. ^[15]

Corporate Taxes

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- Sales revenue - [cost of goods sold \(COGS\)](#) = [gross profit](#)
- Gross profit - [operating expenses](#) such as [general and administrative expenses \(G&A\)](#), selling and marketing, [research and development \(R&D\)](#), [depreciation](#), etc. = [earnings before interest and taxes \(EBIT\)](#)
- EBIT - [interest expense](#) = taxable income

The corporate tax rate in the United States is currently a flat rate of 21%. Before the [Tax Cuts and Jobs Act \(TCJA\)](#) of 2017, the corporate tax rate was 35%. ^[16]
^[17]

In August of 2022, the United States Congress passed a new 15% corporate minimum tax into law as part of the Inflation Reduction Act of 2022. This new minimum tax only affects U.S. corporations with three-year average book values of \$1 billion or more and foreign corporations with three-year average U.S. income over \$100 million. ^[18]

Sales Taxes

Sales taxes are charged at the [point of sale](#) when a customer executes the payment for a good or service. The business collects the sales tax from the customer and remits the funds to the government.

Each state can implement its own sales taxes, meaning they vary depending on location. There's even room for cities and counties to use their own rates, provided that they abide by the taxing rules of their state. ^[19]

In 2024, the highest average state sales tax rate is in Louisiana, at 9.56%. Five states—Alabama, Mississippi, Nevada, North Carolina, and Oregon—did not have a state sales tax. Municipalities to charge local sales taxes.

Property Taxes

A common property tax in the United States is the [millage rate](#) is used to calculate the tax on every \$1,000 of a property's assessed value.

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Property tax rates vary considerably by jurisdiction and many states also tax [tangible personal property](#), such as cars and boats. ^[21]

In FY 2022, the state with the highest property effective tax rate was New Jersey at 2.08%. The lowest state ranking was Hawaii at 0.26%. ^[22]

Tariffs

A tariff is a tax imposed by one country on the goods and services [imported](#) from another country. The purpose is to encourage domestic purchases by increasing the price of goods and services imported from other countries.

There are two main types of tariffs: fixed fee tariffs, which are levied as a fixed cost based on the type of item, and ad valorem tariffs, which are assessed as a percentage of the item's value (like the real estate tax in the previous section). ^[23]

[Tariffs are politically divisive](#), with debate over whether the policies work as intended. ^[23]

Estate Taxes

Estate taxes are levied only on [estates](#) that exceed the exclusion limit set by law. In 2024, [the federal exclusion limit is \\$13.61 million](#), increasing to \$13.99 million in 2025. Surviving spouses are exempt from estate taxes. ^[24] ^[25]

The estate tax due is the taxable estate minus the exclusion limit. For example, a \$15.7 million estate would owe \$2.1 million in 2025).

The estate tax rate is a progressive rate, ranging from 18% to 40%. The maximum estate tax rate applies to estates that exceeds the exclusion limit.

States may have lower exclusion limits, so estate taxes on estates worth less than the federal exclusion limit may be higher.

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20%. [\[28\]](#)

FAST FACT

Some states levy their own additional estate or inheritance tax, with exclusion limits that differ from those of the federal government. [\[28\]](#)

Estate taxes are different from [inheritance taxes](#) in that an estate tax is applied before assets are disbursed to any [beneficiaries](#). An inheritance tax is paid by the beneficiary. There is no federal inheritance tax, and, as of 2024, only six states have an inheritance tax: Iowa, Kentucky, Maryland, Nebraska, New Jersey, and Pennsylvania. Iowa will completely phase out its inheritance tax by 2025. [\[28\]](#)

Tax Delinquency

Every type of tax has a different due date or reporting requirement. Some are collected immediately at the time of a transaction or leading up to a transaction like sales taxes or tariffs. Others are on a fixed recurring schedule with a due date repeating on a specific date or specific day/month combination (e.g., property taxes being due the first day of April). The due dates for similar types of taxes will vary across governing bodies (i.e. different counties will have different property tax due dates).

Upon failure to remit the appropriate amount of a tax to the taxing authorities, various penalties may be incurred. In addition to the penalties discussed above, tax penalties may include

- A penalty assessment resulting in a fine.
- An interest assessment resulting in a longer duration of the delinquency.
- A [lien](#) placed on underlying assets, making it difficult to be unable to satisfy their debt.
- A denial of access or service for future transactions.

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Why Do We Pay Taxes?

Taxes are the primary source of revenue for most governments. Among other things, this money is spent to improve and maintain public infrastructure, including the roads we travel on, and fund public services, such as schools, emergency services, and welfare programs.

How Do Income Taxes Work in the U.S.?

In the U.S., taxation progressively increases as an individual's income grows. There are currently seven federal tax brackets in the U.S., with rates ranging from 10% to 37%. ^[29]

Are U.S. Taxes Low?

Generally speaking, U.S. taxes are lower than in other developed nations. In 2021, total U.S. tax revenue represented 24% of [gross domestic product \(GDP\)](#) according to the Tax Policy Center, whereas the average among the other 37 member countries of the [Organisation for Economic Co-operation and Development \(OECD\)](#) was 34%. ^[30]

Who Needs to Pay Taxes?

The taxpayer will depend on the type of tax and associated regulation for that tax. For example, federal income tax legislation usually only pertains to people who have earned a certain amount of income or adjusted gross income. Corporate taxes may be limited to companies that have performed business in a specific area or are incorporated to do business within a specific country. Each tax is handled differently, and there are often exceptions and qualifications for whom the tax pertains to.

What Are Different Types

Taxes can be classified in different ways. Some are levied on transactions (i.e. sales taxes or taxes on property transfers) and others on income or results (i.e. individual income taxes or corporate taxes). There are also taxes that occur due to one-time events (i.e. capital gains taxes).

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what triggers a tax situation can enable taxpayers to manage their finances to minimize the impact of taxes. Techniques that can help include [annual tax-loss harvesting](#) to offset investment gains with investment losses, and [estate planning](#), which works to shelter inherited income for heirs.

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[taxa 'kɔrt]

A specialized court of law that hears and adjudicates tax-related disputes and issues.

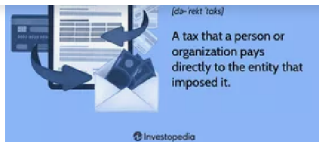
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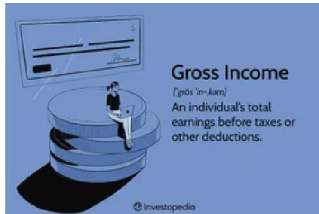
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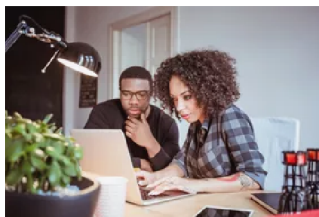
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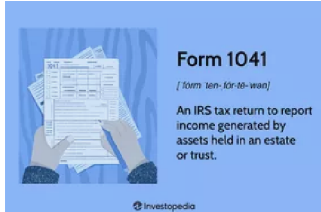
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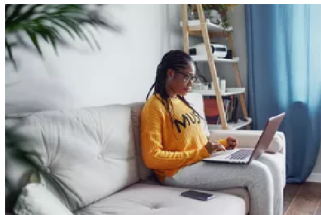
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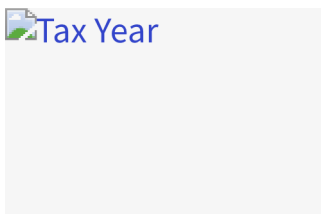
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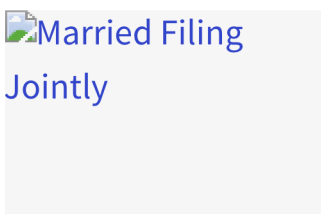
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